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The Value of Connections in Turbulent Times: Evidence from the United States

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1 Big picture

- **Question.** Do personal connections to top executive branch officials have measurable value in the United States, a country with relatively strong institutions? The paper studies this question in the unusual setting of the 2008 financial crisis.
- **Main event.** On November 21, 2008, news leaked that Timothy Geithner would be nominated as U.S. Treasury Secretary. The official announcement occurred on November 24.
- **Main result.** Financial firms connected to Geithner earned large abnormal stock returns relative to comparable non-connected financial firms: about 6% by the close of the first full trading day and about 12% after ten trading days.
- **Reverse event.** When Geithner's confirmation was threatened by unexpected tax issues in January 2009, connected firms experienced negative abnormal returns, although these estimates are less precise.
- **Core hypothesis.** Connections are especially valuable in turbulent times because crisis policymaking gives senior officials unusual discretion, makes real-time advice important, and increases reliance on trusted social and professional networks.
- **Why this is surprising.** Much prior evidence on valuable political connections comes from countries with weaker institutions. This paper shows that even in the United States, personal connections may matter when policy discretion is high.
- **Identification strategy.** The paper uses event-study evidence around Geithner's nomination, compares connected and non-connected financial firms, controls for crisis vulnerability and firm characteristics, and uses synthetic matching.
- **Economic takeaway.** Strong institutions may limit ordinary rent-seeking in normal times, but crisis conditions can temporarily raise the value of access, information, and trusted relationships with top policymakers.

2 Incremental contribution of the paper

- **From emerging markets to the United States.** Earlier work finds large values of political connections in Indonesia, Malaysia, Pakistan, and other settings. This paper asks whether similar effects can appear in a high-institutional-quality country.
- **From Congress to the executive branch.** Much U.S. evidence focuses on connections to legislators, campaign contributions, or congressional control. This paper studies connections to the Treasury Secretary, a cabinet-level executive official.
- **Crisis-contingent value of connections.** The paper's central insight is not that U.S. institutions are generally weak. Instead, it argues that the value of connections rises when policy discretion and urgency rise.
- **Multiple connection measures.** The paper constructs three complementary measures: documented meetings on Geithner's New York Fed schedule, personal board or nonprofit links, and New York City headquarters as a noisy proximity measure.

- **A careful event-study design.** The paper explicitly handles the contemporaneous Citigroup bailout, controls for crisis vulnerability, considers toxic asset exposure, checks alternative Treasury candidates, and studies CDS spreads.
- **Synthetic matching contribution.** Beyond standard OLS event-study regressions, the paper uses synthetic matching to compare each connected firm with a weighted portfolio of non-connected firms with similar pre-event return behavior.
- **Two-sided evidence.** The nomination announcement increases connected-firm value; the later tax-problem event reduces it. This strengthens the interpretation that the market was pricing Geithner-specific connections.
- **Institutional interpretation.** The paper links financial-market reactions to the practical reality that Geithner’s Treasury team drew heavily from people he knew and from institutions connected to him.

3 Data and measurement

3.1 Sample construction

- The full sample contains firms listed on the NYSE or Nasdaq and classified as banks or financial services firms in Datastream.
- The authors start with 678 firms and retain 603 firms with enough return data to calculate abnormal returns around the Geithner nomination event.
- The base sample excludes firms in the top 10% of return correlation with Citigroup during the period from the Lehman collapse to the day before the Geithner nomination.
- This exclusion addresses the fact that Citigroup received an additional bailout during the same event window.

Interpretation: The sample is designed to compare financial firms that were plausibly exposed to crisis-policy news, while limiting contamination from the specific Citigroup bailout.

3.2 Connection measures

- **Schedule connections.** The number of times executives of a firm appeared on Geithner’s schedule when he was president of the Federal Reserve Bank of New York during 2007-2008.
- **Personal connections.** Links through shared nonprofit boards, business groups, or director relationships, based on relationship maps and verified against public sources.
- **New York connections.** A dummy equal to one if a firm’s headquarters are in New York City.

Interpretation: Schedule and personal connections are relatively direct measures of access. New York headquarters is a noisier measure, but it captures geographic and social proximity to the New York Fed.

3.3 Event timing

- Event day 0 is November 21, 2008, from 3:00 p.m. to market close, when news of the nomination leaked.
- Event day 1 is November 24, 2008, when the nomination was officially announced.
- Short-window results use $CAR[0]$ and $CAR[0,1]$. Longer-window results use $CAR[0,10]$ to see whether the initial effect persisted or reversed.

Interpretation: The event is narrow enough to study market reactions, but the paper is careful because major policy news and bailout news were frequent during this period.

3.4 Firm characteristics and controls

The main control variables are size, profitability, and leverage:

- Size is the log of total assets.
- Profitability is return on equity.
- Leverage is total debt divided by total capital.

The regressions include cubics in these controls, allowing flexible nonlinear relationships between firm characteristics and returns.

Interpretation: These controls matter because connected firms tend to be larger and could differ in crisis vulnerability. The paper’s goal is to compare connected and non-connected firms that are otherwise similar.

3.5 CDS spread data

The paper also uses Markit credit default swap data for a smaller sample. The CDS analysis tests whether Geithner’s nomination lowered market-implied default risk for connected firms.

Interpretation: Stock returns measure upside value to equity. CDS spreads provide a complementary measure: if connected firms were expected to be safer, their CDS spreads should fall.

4 Models and empirical specifications

4.1 Market-model abnormal returns

For firm i , the paper estimates abnormal returns using the market model:

$$AR_{it} = R_{it} - \left(\hat{\alpha}_i + \hat{\beta}_i R_{mt} \right),$$

where R_{it} is the firm’s return and R_{mt} is the S&P 500 return. Cumulative abnormal returns are:

$$CAR[0, n]_i = \sum_{t=0}^n AR_{it}.$$

The market-model parameters are estimated over 250 trading days ending 30 days before event day 0.

Interpretation: This procedure asks how much each firm outperformed or underperformed relative to what its historical market sensitivity would predict.

4.2 Baseline OLS specification

The main regression is:

$$CAR_i = \alpha + \beta x_i + z_i' \phi + \varepsilon_i,$$

where x_i is a connection measure and z_i includes flexible controls for size, profitability, and leverage.

Interpretation: The coefficient β measures the abnormal return associated with being more connected to Geithner, conditional on firm characteristics.

4.3 Adjusted standard errors

Because financial-firm returns are correlated, the paper adjusts standard errors using the pre-event covariance matrix of residual returns. This accounts for cross-firm return correlation.

Interpretation: Without this adjustment, standard errors could be too small because connected and non-connected financial firms may move together for reasons unrelated to connections.

4.4 Synthetic matching

For each connected firm i , the synthetic matching method constructs a weighted combination of non-connected firms that best matches firm i 's pre-event returns:

$$\{w_j^{i*}\} = \arg \min_{\{w_j^i\}} \sum_{t \in \text{estimation window}} \left(R_{it} - \sum_{j \in \text{control}} w_j^i R_{jt} \right)^2,$$

subject to:

$$\sum_{j \in \text{control}} w_j^i = 1, \quad w_j^i \geq 0.$$

The abnormal return is the difference between the actual connected firm and its synthetic match.

Interpretation: Synthetic matching is useful because it compares connected firms to non-connected firms with similar pre-event return behavior, not merely similar accounting characteristics.

4.5 Placebo inference

The paper randomly draws placebo treatment groups from non-connected firms and computes the same synthetic matching effect. The actual Geithner effect is significant if it lies outside the placebo distribution.

Interpretation: This approach asks whether connected firms moved unusually relative to what would happen for randomly selected groups of similar financial firms.

4.6 CDS spread specification

The CDS tests replace the stock-market dependent variable with the percentage change in CDS spreads:

$$\Delta CDS_i = \alpha + \beta x_i + z_i' \phi + \varepsilon_i.$$

A negative β means that Geithner-connected firms experienced a relative decline in default insurance costs.

Interpretation: If markets expected connected firms to receive support or better treatment, both equity values and credit safety should improve.

5 Identification and empirical design

5.1 What the event identifies

The Geithner nomination was a shock to the expected identity of the next Treasury Secretary. If personal connections to him were valuable, connected financial firms should have abnormal positive returns when his nomination became likely.

Interpretation: The event-study design identifies market expectations about the value of connections, not necessarily the realized dollar value of later government support.

5.2 Why the crisis setting matters

The Treasury Department had unusual discretion in late 2008. TARP, capital injections, bank guarantees, and crisis interventions meant that Treasury decisions could directly affect financial-firm survival and value.

Interpretation: Connections should matter most when government decisions are urgent, discretionary, and difficult to fully constrain by ordinary procedures.

5.3 Citigroup bailout confound

Citigroup received additional government support during the event window. Because some connected firms might have returns correlated with Citigroup, the authors construct a base sample that excludes firms most correlated with Citigroup.

Interpretation: This is one of the most important design choices. It helps isolate the Geithner nomination from a simultaneous bailout announcement.

5.4 Alternative explanation: safe pair of hands

A possible explanation is that Geithner's nomination signaled competent crisis management, benefiting weak or vulnerable firms generally. The paper addresses this by controlling for:

- firm size, profitability, and leverage;
- stock-price reaction around Lehman's collapse;

- deposit-taking status;
- previous TARP funding;
- returns around the announcement that TARP would be used for capital injections;
- toxic asset exposure.

Interpretation: The results are not just that distressed firms rose. Connected firms rose relative to otherwise similar financial firms.

5.5 Falsification and comparison tests

The paper also tests whether Geithner-connected firms reacted similarly to other policy events, such as the Bear Stearns rescue, Lehman bankruptcy, AIG support, EESA passage, and TARP capital injections. It also studies connections to other Treasury Secretary candidates.

Interpretation: These tests support the interpretation that the market reaction was Geithner-specific rather than a generic response of politically connected or crisis-sensitive firms.

6 Tables and figures

6.1 Table 1: Descriptive statistics

Read:

- Panel A reports the distribution of connection measures, firm characteristics, CARs, and CDS variables.
- The full sample contains 603 financial firms.
- Schedule and personal connections are sparse: most firms have zero connections, while a small number have many.
- Panels B and C compare connected and non-connected firms in the full and base samples.
- Connected firms are generally larger, which motivates the controls for firm size and the matching analysis.
- Panel D shows that schedule and personal connections are highly correlated, while New York connections are noisier.

Economic message: Table 1 establishes that connected firms are not randomly drawn from the financial sector. The empirical design therefore needs controls and matching to avoid confusing connection effects with size, leverage, or crisis vulnerability.

6.2 Table 2: Connections and stock price reactions

Read:

- Panel A reports actual returns for connected and non-connected firms in the base sample from event day 0 to event day 10.

- Connected firms outperform non-connected firms on the leak day and especially on the official announcement day.
- Panel B reports cumulative abnormal returns.
- By day 10, connected firms have much higher CARs than non-connected firms across all three connection measures.
- The cumulative CAR difference by day 10 is 15.7 percentage points for schedule connections, 15.8 percentage points for personal connections, and 11.0 percentage points for New York connections.

Economic message: Table 2 is the raw event-study fact: the market assigned a large positive value to being connected to the incoming Treasury Secretary during the crisis.

Table 1

Descriptive statistics.

The table presents descriptive statistics of firm-level data used in subsequent tables. The sample includes firms listed on NYSE or Nasdaq and classified as banks or financial services firms in the Datastream database. The base sample excludes firms with returns highly correlated to Citigroup. Schedule connections denote the number of meetings between the firm's executives and Timothy Geithner during 2007-08; personal connections denote the number of shared board memberships between the firm's executives and Geithner; New York connections indicate firms headquartered in New York City. Size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) are from the Worldscope database as of 2008. CDS spreads are from the Markit database and are for five-year contracts, stated in percent. Asterisks denote significance levels of a two-tailed t-test (* = 1%, ** = 5%, *** = 10%).

Panel A: Summary statistics (full sample)									
	Mean	Min	25th ptile	Median	75th ptile	Max	St. dev.	N	
(1) Geithner connections (schedule)	0.21	0.00	0.00	0.00	0.00	34.00	1.74	603	
(2) Geithner connections (personal)	0.08	0.00	0.00	0.00	0.00	9.00	0.60	603	
(3) Geithner connections (New York)	0.07	0.00	0.00	0.00	0.00	1.00	0.26	603	
(4) Size	21.33	16.32	20.23	21.03	22.10	28.41	1.72	596	
(5) Profitability	-0.05	-3.62	-0.06	0.04	0.09	0.82	0.35	585	
(6) Leverage	0.57	0.00	0.43	0.61	0.71	3.10	0.27	592	
(7) CAR[0]	-0.02	-0.24	-0.04	-0.01	0.01	0.35	0.06	603	
(8) CAR[0,1]	-0.02	-0.46	-0.07	-0.02	0.03	0.48	0.11	603	
(9) CAR[0,10]	0.02	-0.69	-0.10	-0.02	0.09	1.38	0.21	603	
(10) CDS spread, day 1	4.65	0.23	1.16	2.33	5.32	29.29	6.15	30	
(11) % Change in CDS spread[1]	-0.04	-0.49	-0.03	0.00	0.00	0.02	0.10	30	
(12) % Change in CDS spread[1,10]	-0.06	-0.49	-0.12	-0.03	0.00	0.15	0.13	30	
Panel B: Geithner connected vs. non-connected (full sample)									
	Schedule	Non	Diff.	Personal	Non	Diff.	New York	Non	Diff.
(13) Size	24.40	21.20	3.20***	25.00	21.20	3.80***	21.78	21.30	0.48*
(14) Profitability	0.04	-0.06	0.10	-0.15	-0.05	-0.10	-0.17	-0.04	-0.13**
(15) Leverage	0.73	0.56	0.17***	0.60	0.56	0.04	0.57	0.56	0.00
(16) Number of observations in full sample	25	578		21	582		45	558	
Panel C: Geithner connected vs. non-connected (base sample)									
	Schedule	Non	Diff.	Personal	Non	Diff.	New York	Non	Diff.
(17) Size	23.13	20.98	2.16***	23.17	21.00	2.17***	20.95	21.04	-0.09
(18) Profitability	0.06	-0.07	0.13	-0.42	-0.06	-0.36***	-0.20	-0.05	-0.14**
(19) Leverage	0.71	0.56	0.15***	0.52	0.57	-0.05	0.54	0.57	-0.03
(20) Number of observations in base sample	15	530		9	536		38	507	
Panel D: Correlation coefficients (full sample)									
	Schedule	Personal	New York	Size	Profitability	Leverage			
(21) Geithner connections (schedule)	1.00								
(22) Geithner connections (personal)	0.46	1.00							
(23) Geithner connections (New York)	0.35	0.39	1.00						
(24) Size	0.35	0.37	0.10	1.00					
(25) Profitability	0.00	-0.03	-0.11	0.05	1.00				
(26) Leverage	0.04	0.06	-0.15	0.28	-0.16	1.00			

(a) Table 1: descriptive statistics

Table 2

Connections to Geithner and stock price reactions to Treasury Secretary announcement.

The table presents stock returns of financial firms around the announcement of Barack Obama's nomination of Timothy Geithner as Treasury Secretary. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. Abnormal returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0. The base sample excludes firms with returns highly correlated to Citigroup. Schedule connections indicate meetings between the firm's executives and Geithner during 2007-08; personal connections indicate shared board memberships between the firm's executives and Geithner; New York connections indicate firms headquartered in New York City. Asterisks denote significance levels of a two-tailed t-test, with standard errors adjusted for pre-event correlation between firms (** = 1%, *** = 5%, * = 10%).

Panel A: Actual returns, base sample												
Event day	Date	Schedule connections			Personal connections			New York connections			Conn.	Non-conn.
		Conn.	Non-conn.	Difference	Conn.	Non-conn.	Difference	Conn.	Non-conn.	Difference		
0	11/21/2008	0.086	0.042	0.043***	0.075	0.043	0.033	0.085	0.040	0.044***		
1	11/24/2008	0.130	0.046	0.084***	0.143	0.047	0.096***	0.078	0.046	0.031***		
2	11/25/2008	0.026	0.015	0.011	0.057	0.014	0.043*	0.032	0.014	0.018		
3	11/26/2008	0.112	0.041	0.071***	0.112	0.042	0.071***	0.087	0.040	0.048***		
4	11/28/2008	0.056	0.018	0.038**	0.085	0.018	0.067***	0.016	0.019	-0.003		
5	12/1/2008	-0.131	-0.076	-0.056**	-0.144	-0.076	-0.067***	-0.105	-0.075	-0.030**		
6	12/2/2008	0.046	0.043	0.003	0.044	0.043	0.001	0.060	0.040	0.020**		
7	12/3/2008	0.034	0.018	0.016	0.043	0.018	0.024	0.031	0.018	0.013		
8	12/4/2008	-0.009	-0.013	0.005	0.005	-0.014	0.019	-0.020	-0.013	-0.008		
9	12/5/2008	0.063	0.024	0.038**	0.042	0.025	0.017	0.050	0.024	0.026*		
10	12/8/2008	0.064	0.027	0.037**	0.043	0.028	0.015	0.050	0.027	0.023*		
0-10 (Cumulative)		0.551	0.180	0.371***	0.645	0.183	0.463***	0.468	0.169	0.299***		
Panel B: Cumulative abnormal returns, base sample												
Event day	Date	Schedule connections			Personal connections			New York connections			Conn.	Non-conn.
		Conn.	Non-conn.	Difference	Conn.	Non-conn.	Difference	Conn.	Non-conn.	Difference		
0	11/21/2008	-0.013	-0.015	0.001	-0.034	-0.014	-0.020	-0.005	-0.015	0.010		
1	11/24/2008	0.024	-0.022	0.046**	0.005	-0.021	0.026	-0.011	-0.021	0.010		
2	11/25/2008	0.039	-0.013	0.052**	0.052	-0.012	0.064**	0.012	-0.013	0.025*		
3	11/26/2008	0.099	-0.001	0.101***	0.107	0.000	0.108***	0.053	-0.002	0.055**		
4	11/28/2008	0.141	0.009	0.132***	0.177	0.009	0.167***	0.056	0.009	0.048***		
5	12/1/2008	0.116	0.006	0.129***	0.175	0.007	0.168***	0.067	0.006	0.061***		
6	12/2/2008	0.124	0.017	0.107***	0.156	0.017	0.138***	0.105	0.015	0.092***		
7	12/3/2008	0.120	0.013	0.107***	0.156	0.014	0.142***	0.101	0.010	0.091***		
8	12/4/2008	0.152	0.024	0.129***	0.208	0.024	0.184***	0.118	0.021	0.098***		
9	12/5/2008	0.162	0.018	0.144***	0.192	0.019	0.172***	0.121	0.015	0.106***		
10	12/8/2008	0.171	0.014	0.157***	0.173	0.015	0.158***	0.120	0.010	0.110***		

(b) Table 2: stock price reactions

6.3 Table 3: OLS regression results

Read:

- Table 3 estimates the relation between Geithner connections and CARs while controlling for size, profitability, and leverage.
- For CAR[0], each additional schedule connection is associated with an abnormal return of about 0.33 percentage points.
- For CAR[0,1], schedule and personal connections are positive and statistically significant in the base sample.
- For CAR[0,10], personal and New York connections are strongly positive; the schedule coefficient is positive but not significant in the reported specification.
- The controls enter flexibly as cubics to absorb nonlinear relationships between firm characteristics and returns.

Economic message: Table 3 shows that the basic connection premium survives standard firm-level controls. The result is not driven only by the fact that connected firms are larger or more levered.

6.4 Table 4: OLS robustness checks

Read:

- Table 4 tests whether the OLS results survive a wide range of alternative specifications.
- The paper controls for crisis vulnerability using Lehman-collapse returns, deposit-taking status, and prior TARP participation.
- It also controls for reactions to TARP capital injections and uses a beta-estimation window centered on the Lehman crisis.
- Columns using toxic asset exposure show that results remain strong in the subset where mortgage and asset-backed security data are available.
- Excluding extreme CAR observations leaves the main pattern largely intact.
- Median regressions are weaker for CAR[0,1], indicating that some high-return connected firms contribute meaningfully to the OLS estimate.
- Using only 2007 schedule appointments still yields positive effects for the short event windows.

Economic message: Table 4 is the paper’s main defense against the “safe pair of hands” interpretation. Connected firms performed well even after controlling for the channels through which a competent crisis manager might help vulnerable firms generally.

Table 3
Connections to Geithner and reactions to Treasury Secretary announcement. OLS regression results.
The table reports coefficient estimates of OLS regressions of cumulative abnormal returns (CARs) surrounding the announcement of Timothy Geithner as Treasury Secretary on measures of connections to Geithner. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. The CAR is measured as day 0 only, from day 0 to day 1, or from day 0 to day 10, as indicated. Abnormal returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0. The base sample excludes firms with returns highly correlated to Citigroup. Schedule connections denote the number of meetings between the firm’s executives and Geithner during 2007–08; personal connections denote the number of shared board memberships between the firm’s executives and Geithner. New York connections indicate firms headquartered in New York City. Control variables include cubics in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008. Robust standard errors, adjusted for pre-event correlations between firms, are below coefficients in parentheses. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
	Dependent variable is CAR[0] (full sample)			Dependent variable is CAR[0,1] (base sample)			Dependent variable is CAR[0,10] (base sample)		
	Schedule	Personal	New York	Schedule	Personal	New York	Schedule	Personal	New York
Geithner connections	0.0033*** (0.0009)	0.0073*** (0.0013)	0.0132*** (0.0023)	0.011*** (0.0021)	0.050*** (0.010)	0.005 (0.011)	0.009 (0.007)	0.072*** (0.023)	0.108*** (0.023)
Size	-0.146 (0.204)	-0.109 (0.208)	-0.004 (0.203)	0.789 (0.668)	0.882 (0.685)	0.963 (0.687)	2.640 (1.636)	2.463 (1.664)	2.387 (1.657)
Size ²	0.007 (0.009)	0.005 (0.010)	0.000 (0.009)	-0.039 (0.032)	-0.044 (0.033)	-0.048 (0.033)	-0.129 (0.078)	-0.131 (0.080)	-0.117 (0.079)
Size ³	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.001 (0.001)	0.001 (0.001)	0.001 (0.001)	0.002 (0.001)	0.002 (0.001)	0.002 (0.001)
Profitability	0.039*** (0.014)	0.039*** (0.014)	0.038*** (0.014)	0.029 (0.024)	0.033 (0.024)	0.029 (0.024)	-0.156** (0.064)	-0.150** (0.065)	-0.164** (0.064)
Profitability ²	0.011 (0.020)	0.008 (0.020)	0.008 (0.020)	0.005 (0.035)	0.003 (0.035)	0.004 (0.035)	-0.175* (0.091)	-0.178* (0.091)	-0.205** (0.090)
Profitability ³	-0.001 (0.006)	-0.001 (0.006)	-0.001 (0.006)	0.006 (0.010)	0.005 (0.010)	0.005 (0.010)	-0.034 (0.023)	-0.035 (0.023)	-0.040* (0.023)
Leverage	-0.012 (0.061)	-0.013 (0.062)	-0.011 (0.063)	-0.075 (0.079)	-0.063 (0.079)	-0.096 (0.082)	0.567*** (0.146)	0.599*** (0.147)	0.670*** (0.153)
Leverage ²	0.087 (0.181)	0.088 (0.181)	0.088 (0.182)	0.091 (0.226)	0.078 (0.226)	0.138 (0.229)	-1.872*** (0.463)	-1.916*** (0.464)	-2.203*** (0.476)
Leverage ³	-0.095 (0.142)	-0.096 (0.142)	-0.096 (0.142)	-0.008 (0.177)	-0.007 (0.177)	-0.033 (0.179)	1.449*** (0.388)	1.467*** (0.387)	1.539*** (0.395)
Number of firms	583	583	583	525	525	525	525	525	525
R-squared	0.038	0.036	0.036	0.043	0.040	0.038	0.065	0.070	0.078

(a) Table 3: OLS results

Table 4
Connections to Geithner and reactions to Treasury Secretary announcement. OLS robustness checks.
The table reports coefficient estimates of OLS regressions of cumulative abnormal returns (CARs) surrounding the announcement of Timothy Geithner as Treasury Secretary on measures of connections to Geithner. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. The CAR is measured as day 0 only, from day 0 to day 1, or from day 0 to day 10, as indicated. Abnormal returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0. The base sample excludes firms with returns highly correlated to Citigroup. Schedule connections denote the number of meetings between the firm’s executives and Geithner during 2007–08 (only 2007 in column 1); personal connections denote the number of shared board memberships between the firm’s executives and Geithner. Control variables (not reported) include cubics in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008 in columns 1 and 2, other controls (not reported) include the CAR[0,4] for the firm upon the collapse of Lehman Brothers, a dummy variable equal to one if the firm also deposits, and a dummy variable equal to one if the firm had accepted TARP funding prior to the announcement. In Columns 3 and 4 a control for the CAR[0,1] surrounding the announcement that TARP would be used for capital injections is included. In columns 5 and 6, the estimation window is a five-week window surrounding the collapse of Lehman Brothers. In columns 7 and 8, toxic asset exposure is a measure of mortgage-backed security holdings scaled by total assets, and the full sample is used in all panels. Robust standard errors, adjusted for pre-event correlations between firms (except in columns 11 and 12), are below coefficients in parentheses. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)
	Control for crisis vulnerability		Control for response to TARP capital injections		Lehman collapse estimation beta		Control for toxic asset exposure		Exclude extreme CARs (10/9/08)		Median regressions		2007 Appts. only
	Schedule	Personal	Schedule	Personal	Schedule	Personal	Schedule	Personal	Schedule	Personal	Schedule	Personal	Schedule
Geithner connections	0.0034*** (0.0005)	0.0070*** (0.0009)	0.0032*** (0.0005)	0.0075*** (0.0009)	0.0046*** (0.0006)	0.0164*** (0.0031)	0.0030*** (0.0003)	0.0101*** (0.0037)	0.0032*** (0.0006)	0.0070*** (0.0009)	0.0030*** (0.0007)	0.0032*** (0.0004)	0.0032*** (0.0011)
Number of firms	586	576	579	579	583	583	196	196	196	191	583	583	583
R-squared	0.040	0.037	0.046	0.047	0.063	0.064	0.063	0.061	0.044	0.039	0.030	0.027	0.037
Fixed A: Dependent variable is CAR[0] (full sample)													
Geithner connections	0.011*** (0.003)	0.011*** (0.003)	0.011*** (0.003)	0.048*** (0.010)	0.010*** (0.003)	0.060*** (0.010)	0.014*** (0.003)	0.011*** (0.003)	0.009*** (0.003)	0.048*** (0.011)	0.008 (0.005)	0.009 (0.007)	0.030*** (0.005)
Number of firms	518	518	521	521	525	525	196	196	196	517	525	525	525
R-squared	0.042	0.039	0.039	0.045	0.057	0.065	0.232	0.217	0.058	0.063	0.039	0.040	0.048
Fixed B: Dependent variable is CAR[0,1] (base sample)													
Geithner connections	0.004 (0.006)	0.045* (0.021)	0.008 (0.006)	0.064** (0.021)	0.023*** (0.007)	0.120*** (0.023)	0.020*** (0.004)	0.076*** (0.014)	0.010 (0.007)	0.072*** (0.023)	0.009 (0.006)	0.095*** (0.019)	-0.003 (0.010)
Number of firms	518	518	521	521	525	525	196	196	196	516	525	525	525
R-squared	0.120	0.122	0.074	0.078	0.073	0.080	0.246	0.240	0.067	0.074	0.043	0.048	0.064

(b) Table 4: OLS robustness

6.5 Figure 1: Geithner connection coefficient around the nomination

Read:

- Figure 1 plots the estimated Geithner connection coefficient for each trading day from ten days before to ten days after the nomination event.

- Panel A uses schedule connections and Panel B uses personal connections.
- The vertical line marks the nomination event.
- There is no comparable positive run-up before the event.
- The largest positive effects occur immediately after the nomination becomes known.

Economic message: Figure 1 visually supports the event-study interpretation. The connection premium appears around the announcement rather than as a smooth pre-existing trend.

6.6 Figure 2: Synthetic matching pre-trend check

Read:

- Figure 2 uses the synthetic matching method to plot $CAR[x, x+1]$ effects across dates surrounding the nomination.
- Panel A shows all connected firms, while Panel B focuses on highly connected firms.
- The nomination date stands out as the most statistically significant positive event.
- The pre-event period does not show a consistent negative pattern that would mechanically reverse at the event.

Economic message: Figure 2 strengthens the claim that the event effect is not merely mean reversion. Connected firms did not simply rebound from an unusual pre-event decline.

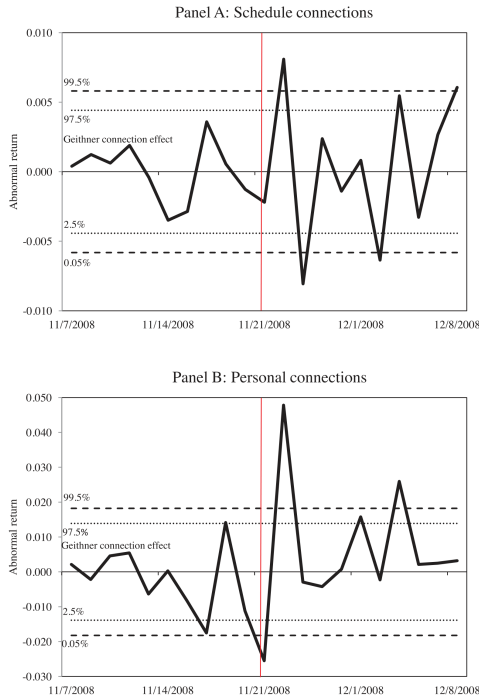


Fig. 1. The charts present the Geithner connection coefficient from Eq. (1) estimated for each trading day from ten days before to ten days after the day of the Geithner nomination announcement (indicated by the vertical line). The sample is as described in Table 1. Confidence intervals at 1% and 5% levels

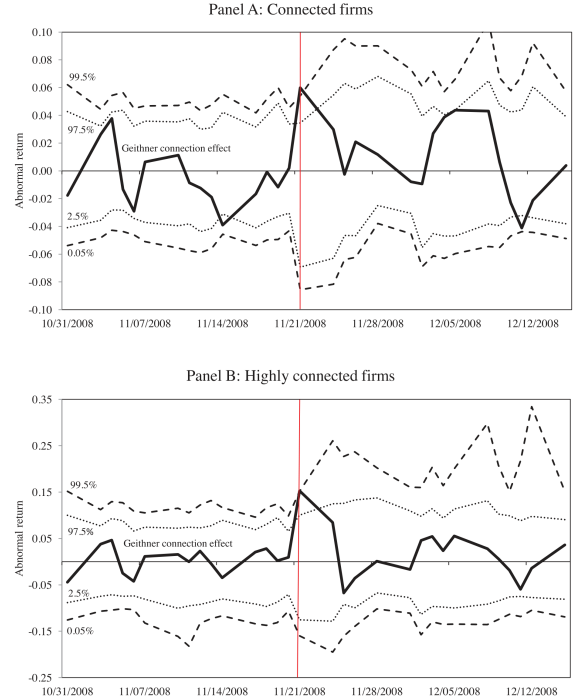


Fig. 2. The charts present the Geithner connection coefficient for $CAR[x, x+1]$ for each trading day x in the month of November and first half of December 2008 as estimated by synthetic matching. The date of the Geithner nomination announcement is indicated by the vertical line. "Highly connected" indicates

(a) Figure 1: OLS connection coefficients

(b) Figure 2: synthetic matching pre-trend

6.7 Table 5: Synthetic matching estimation

Read:

- Table 5 compares OLS and synthetic matching estimates for schedule connections.
- Synthetic matching produces an effect of about 6.0% for CAR[0,1] in the base sample.
- The effect is much larger for highly connected firms than for mildly connected firms.
- For CAR[0,10], synthetic matching estimates an effect of about 12.4% for connected firms.
- Placebo confidence intervals are constructed using 5,000 randomly drawn treatment groups.

Economic message: Table 5 is the paper's most important robustness table. It shows that the connection effect remains when connected firms are compared to synthetic controls with similar pre-event return behavior.

6.8 Table 6: Synthetic matching robustness checks

Read:

- Table 6 repeats the synthetic matching analysis using alternative definitions and windows.
- Panel A uses a financial-crisis estimation window instead of the standard pre-event window.
- Panel B uses personal connections rather than schedule connections.
- Panel C uses New York headquarters as the connection measure.
- Panel D uses only 2007 schedule meetings, before the most acute phase of the crisis.
- The strongest results continue to appear for highly connected firms.

Economic message: Table 6 shows that the synthetic matching result is not an artifact of one connection definition or one matching window. More direct and stronger connections produce stronger market reactions.

Table 5
Connections to Geithner and reactions to Treasury Secretary announcement, synthetic matching estimation.

The table reports synthetic matching estimates of the effect of connections to Timothy Geithner on cumulative abnormal returns (CARs) surrounding the announcement of Geithner as Treasury Secretary. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. The CAR is measured as day 0 only, from day 0 to day 1, or from day 0 to day 10, as indicated. Abnormal returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0. The base sample excludes firms with returns highly correlated to Citigroup. Schedule connections indicate meetings between the firm's executives and Geithner during 2007-08. "Highly connected" indicates more than two meetings; "Mildly connected" indicates one or two meetings. The matching window is the 250 trading days ending 30 days prior to event day 0. Confidence intervals for hypothesis testing of the effect of Geithner connections being equal to zero are computed according to 5,000 placebo simulations. The number of times in which the Geithner coefficient is significant for a test window of 100 trading days is also reported. OLS results (on a dummy for connections) are reported for comparison, and include control variables (not reported) for cubics in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
	All Geithner connections			Highly connected			Mildly connected		
	OLS	Matching	Corrected	OLS	Matching	Corrected	OLS	Matching	Corrected
Panel A: Dependent variable is CAR[0] (full sample)									
Geithner connections (Schedule)	0.014	0.005	0.005	0.029*	0.011	0.011	0.009	0.000	0.000
Confidence interval (2.5%)		-0.029	-0.027		-0.043	-0.039		-0.037	-0.034
Confidence interval (97.5%)		0.014	0.012		0.029	0.026		0.021	0.019
Number of sig. coefficients (10%)	29	8	14	27	13	16	25	0	6
Number of sig. coefficients (5%)	19	4	8	25	6	9	17	0	0
Number of sig. coefficients (1%)	11	0	0	17	1	1	5	0	0
Number of firms	583	583	466	570	570	462	574	574	453
Number in treatment group	22	22	22	9	9	9	13	13	13
Panel B: Dependent variable is CAR[0,1] (base sample)									
Geithner connections (Schedule)	0.059***	0.060***	0.060***	0.149***	0.153***	0.153***	0.028*	0.034*	0.034*
Confidence interval (2.5%)		-0.068	-0.066		-0.126	-0.113		-0.077	-0.074
Confidence interval (97.5%)		0.036	0.029		0.099	0.091		0.042	0.038
Number of sig. coefficients (10%)	23	13	17	23	3	2	22	5	11
Number of sig. coefficients (5%)	17	5	9	11	0	2	18	2	4
Number of sig. coefficients (1%)	9	0	2	6	0	0	9	0	1
Number of firms	525	525	439	516	516	436	522	522	429
Number in treatment group	12	12	12	3	3	3	9	9	9
Panel C: Dependent variable is CAR[0,10] (base sample)									
Geithner connections (Schedule)	0.111***	0.124***	0.124***	0.069	0.169*	0.169*	0.101***	0.110**	0.110**
Confidence interval (2.5%)		-0.110	-0.099		-0.197	-0.191		-0.119	-0.112
Confidence interval (97.5%)		0.079	0.071		0.217	0.194		0.093	0.085
Number of sig. coefficients (10%)	41	18	28	26	16	19	51	17	18
Number of sig. coefficients (5%)	32	8	11	17	8	10	43	3	7
Number of sig. coefficients (1%)	21	0	3	4	1	1	26	0	1
Number of firms	525	525	439	516	516	436	522	522	429
Number in treatment group	12	12	12	3	3	3	9	9	9

(a) Table 5: synthetic matching

Table 6
Connections to Geithner and reactions to Treasury Secretary announcement, synthetic matching robustness checks.

The table reports synthetic matching estimates of the effect of connections to Timothy Geithner on cumulative abnormal returns (CARs) surrounding the announcement of Geithner as Treasury Secretary. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. The CAR is measured from day 0 to day 1. Abnormal returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0 (a five-week window surrounding the collapse of Lehman Brothers in Panel A). The base sample (used throughout the table) excludes firms with returns highly correlated to Citigroup. Schedule connections denote the number of meetings between the firm's executives and Geithner during 2007-08 (only 2007 in Panel D); personal connections denote the number of shared board memberships between the firm's executives and Geithner; New York connections indicate firms headquartered in New York City. "Highly connected" indicates more than one connection (more than two in Panel A); "Mildly connected" indicates one connection (one or two in Panel A). The matching window is the 250 trading days ending 30 days prior to event day 0. Confidence intervals for hypothesis testing of the effect of Geithner connections being equal to zero are computed according to 5,000 placebo simulations. OLS results (on a dummy for connections) are reported for comparison, and include control variables (not reported) for cubics in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
	All Geithner connections			Highly connected			Mildly connected		
	OLS	Matching	Corrected	OLS	Matching	Corrected	OLS	Matching	Corrected
Panel A: Financial crisis estimation window, Schedule connections									
Geithner connections	0.060*	0.071***	0.071***	0.179***	0.192**	0.192**	0.018	0.043	0.043
Confidence interval (2.5%)		-0.064	-0.062		-0.126	-0.123		-0.073	-0.070
Confidence interval (97.5%)		0.056	0.055		0.131	0.131		0.065	0.065
Number of firms	525	525	473	516	516	476	522	522	463
Number in treatment group	12	12	12	3	3	3	9	9	9
Panel B: Personal connections									
Geithner connections	0.059***	0.032	0.032	0.091***	0.104**	0.104**	0.037	-0.010	-0.010
Confidence interval (2.5%)		-0.080	-0.078		-0.126	-0.125		-0.100	-0.099
Confidence interval (97.5%)		0.041	0.044		0.096	0.099		0.069	0.066
Number of firms	525	525	501	520	520	505	522	522	491
Number in treatment group	8	8	8	3	3	3	5	5	5
Panel C: New York connections									
Geithner connections	0.005	0.009*	0.014**						
Confidence interval (2.5%)		-0.049	-0.048						
Confidence interval (97.5%)		0.010	0.008						
Number of firms	525	525	507						
Number in treatment group	34	34	33						
Panel D: 2007 Schedule									
Geithner connections	0.083***	0.053*	0.053**	0.144***	0.122**	0.122**	0.027	-0.012	-0.012
Confidence interval (2.5%)		-0.090	-0.081		-0.127	-0.110		-0.123	-0.113
Confidence interval (97.5%)		0.056	0.049		0.099	0.078		0.096	0.072
Number of firms	525	525	382	522	522	387	522	522	374
Number in treatment group	12	12	12	3	3	3	9	9	9

(b) Table 6: synthetic robustness

6.9 Table 7: CDS spread evidence

Read:

- Table 7 studies changes in CDS spreads around the Geithner nomination.
- The dependent variable is the percentage change in CDS spreads on day 1 or from day 1 to day 10.
- In OLS, the coefficient on Geithner connections is generally negative, meaning connected firms' CDS spreads fall relative to non-connected firms.
- The day-1 CDS results are especially strong for schedule and personal connections.
- Synthetic matching estimates are also mostly negative and significant.
- The results hold with and without Citigroup in several specifications.

Economic message: Table 7 confirms the equity-market evidence from the credit side. Markets did not merely expect connected firms' equity to rise; they also priced lower default risk for connected firms.

6.10 Table 8: Other Treasury Secretary candidates

Read:

- Table 8 asks whether the results are really about Geithner or simply about firms connected to leading political figures.
- The paper constructs connection measures for Lawrence Summers, Jon Corzine, Paul Volcker, and Sheila Bair.
- In stock-return regressions, Geithner connections remain positive and significant after controlling for other candidates' connections.
- In CDS regressions, Geithner connections remain negative and significant.
- Other candidates' connections do not show the same consistent sign pattern.

Economic message: Table 8 is an important falsification test. The market reaction appears tied to the person actually selected for Treasury Secretary, not simply to generic political connectedness.

Table 7
Connections to Geithner and reactions to Treasury Secretary announcement, CDS spreads.
The table reports estimates of the effect of connections to Geithner on CDS spreads surrounding the announcement of Timothy Geithner as Treasury Secretary. Panel A reports OLS estimates and Panel B reports synthetic matching estimates. Event Day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; due to a lack of liquidity and intraday quotes, the changes are measured from day 1, when the announcement was made. The % change in CDS spread is measured at day 1 only, or from day 1 to day 10, as indicated. Schedule connections denote the number of meetings between the firm's executives and Geithner during 2007; all personal connections denote the number of shared board memberships between the firm's executives and Geithner. New York connections indicate firms headquartered in New York City. In Panel A, control variables (not reported) include cubic in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008; robust standard errors, adjusted for pre-event correlations between firms, are below coefficients in parentheses. In Panel B, the matching window is the 90 days ending 30 days prior to event day 0; confidence intervals for hypothesis testing of the effect of Geithner connections being equal to zero are computed according to 5,000 placebo simulations. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Panel A: OLS estimates												
Dependent variable is % change in CDS spread(t)												
Citigroup included Citigroup excluded												
Schedule Personal New York Schedule Personal New York Schedule Personal New York Schedule Personal New York												
Geithner connections	-0.044**	-0.035***	-0.113**	-0.010*	-0.010**	-0.012	-0.011	-0.010	-0.202	-0.010	-0.019	-0.136
	(0.002)	(0.007)	(0.044)	(0.005)	(0.010)	(0.040)	(0.007)	(0.028)	(0.022)	(0.008)	(0.044)	(0.014)
Number of firms	27	27	27	26	26	26	27	27	27	26	26	26
R-squared	0.940	0.795	0.615	0.772	0.834	0.740	0.671	0.619	0.726	0.479	0.493	0.674
Panel B: Synthetic matching estimates												
Dependent variable is % change in CDS spread(t)												
Citigroup included Citigroup excluded												
Schedule Personal New York Schedule Personal New York Schedule Personal New York Schedule Personal New York												
Geithner connections	-0.040**	-0.040***	-0.110**	-0.020**	-0.020***	-0.046**	-0.042	-0.002**	-0.203**	-0.018	-0.011	-0.139**
	(0.003)	(0.003)	(0.005)	(0.004)	(0.005)	(0.004)	(0.007)	(0.019)	(0.008)	(0.014)	(0.010)	(0.010)
Confidence interval (2.5%)	-0.063	-0.060	-0.105	-0.034	-0.030	-0.066	-0.067	-0.019	-0.008	-0.072	-0.014	-0.072
Confidence interval (97.5%)	-0.003	-0.004	-0.006	-0.005	-0.001	-0.001	-0.040	0.000	0.005	0.004	0.006	0.072
Number of firms	27	27	27	26	26	26	27	27	27	26	26	26
Number in treatment group	7	11	6	6	10	5	7	11	6	6	10	5

(a) Table 7: CDS spreads

Table 8
Connections to other Treasury Secretary candidates and reactions to Treasury Secretary announcement.
The table reports coefficient estimates of OLS regressions of cumulative abnormal stock returns (CARs) and percent changes in CDS spreads surrounding the announcement of Timothy Geithner as Treasury Secretary on measures of connections to Treasury Secretary candidates. Event day 0 is November 21, 2008 from 3pm (when the news leaked) to market closing; the announcement was made on event day 1. In columns 1 to 3, the CAR is measured from day 0 to day 1, and in columns 4 to 6, the percent change in CDS spreads is measured for day 1. Abnormal stock returns are calculated using the market model with an estimation window of 250 trading days ending 30 days prior to event day 0. Estimates for the full sample (excluding Citigroup in CAR results) are reported. Connections denote the number of shared board memberships between the firm's executives and the candidate. Control variables (not reported) include cubic in size (log of total assets), profitability (return on equity), and leverage (total debt to total capital) as of 2008. Robust standard errors, adjusted for pre-event correlations between firms, are below coefficients in parentheses. Asterisks denote significance levels (* = 1%, ** = 5%, *** = 10%).

	Dependent variable is CAR(0,1)			Dep. variable is % change in CDS spread(t)		
	(1)	(2)	(3)	(4)	(5)	(6)
Geithner connections	0.020***	0.023**	0.017*	-0.035***	-0.063***	-0.070***
	(0.005)	(0.010)	(0.010)	(0.007)	(0.015)	(0.014)
Summers connections	0.011					
Corzine connections				(0.016)		
				0.020		
				(0.015)		
Volcker connections				-0.018		
				(0.019)		
Bair connections				-0.022		
				(0.038)		
Other candidates combined			0.002			0.028***
			(0.007)			(0.010)
Number of firms	582	582	582	27	27	27
R-squared	0.048	0.049	0.048	0.795	0.941	0.880

(b) Table 8: other Treasury candidates

7 Short summary

- The paper studies whether connections to Timothy Geithner had value when he was announced as Treasury Secretary in November 2008.
- The setting is the financial crisis, when Treasury had unusually high discretion over financial-sector policy.
- The sample consists of NYSE and Nasdaq banks and financial services firms.
- Connections are measured using Geithner’s schedule, personal board and nonprofit links, and New York City headquarters.
- Connected financial firms earned large abnormal positive returns around the nomination announcement.
- The estimated effect is about 6% by the close of the first full trading day and about 12% after ten trading days.
- The results survive controls for size, profitability, leverage, crisis vulnerability, TARP-related exposure, toxic assets, outliers, and matching methods.
- CDS spreads fall for connected firms, consistent with lower perceived default risk.
- When Geithner’s confirmation was threatened by tax issues, connected firms experienced negative abnormal returns.
- The paper interprets the evidence as showing that personal connections can matter in the United States during turbulent periods with high policy discretion.

8 Conclusion

8.1 Core conclusion

Acemoglu, Johnson, Kermani, Kwak, and Mitton show that personal connections to a top U.S. executive branch official can have substantial market value during crisis periods. The Geithner nomination generated large abnormal returns for connected financial firms, and the evidence is consistent across stock returns, CDS spreads, and several connection measures.

8.2 Economic intuition

The economic intuition is that crises increase discretion. In normal times, formal rules, institutional constraints, and slower decision processes may limit the value of informal access. In late 2008, however, policy decisions had to be made quickly, Treasury had large emergency authority, and the financial sector depended heavily on government support. In that environment, firms connected to the incoming Treasury Secretary could plausibly benefit from access, information, sympathetic attention, or the appointment of trusted people from the same network.

8.3 Incremental contribution revisited

The paper advances the political connections literature by showing that the value of connections is not limited to weak-institution countries. The U.S. setting matters precisely because it is usually viewed as institutionally strong. The evidence suggests that institutional strength and connection value are state-dependent: connections are most valuable when crises raise discretion and urgency.

8.4 Implications for finance and political economy

For finance, the paper shows that asset prices can capitalize expected political access. For political economy, it suggests that strong institutions do not eliminate all economic value from personal networks; they may instead make such value episodic and concentrated in exceptional periods. For crisis policy, the results imply that transparency and procedural safeguards are especially important when discretion is high.

8.5 Limitations

The paper identifies market expectations, not all realized benefits. A positive abnormal return means investors expected connected firms to benefit, but it does not by itself prove that Geithner later gave favorable treatment to those firms. The treatment group is also small, especially for the most direct connection measures. Finally, crisis event windows are difficult because many policy announcements occur close together.

8.6 Takeaway

The enduring takeaway is that personal connections can become valuable in turbulent times even in the United States. The mechanism is not ordinary corruption; it is the market's expectation that, when policy discretion is high and decisions are urgent, access to trusted networks and top policymakers can affect firm value.